Alternative Remedy Suggested. Despite these undoubted reforms in reorganization technique, we shall be bold enough to venture the assertion that the ideal protective procedure for bondholders may often be found along other and simpler lines. In our opinion—given a sufficiently simple debt structure—the best remedy for all injuries suffered by bondholders is the immediate vesting in them of voting control over the corporation, together with an adequate mechanism to assure the intelligent exercise of such control. In many cases the creditors would then be able to marshal the company's resources and earnings for their own protection in such a way as to avoid recourse to expensive and protracted judicial proceedings.

Our suggestion falls into two parts: First, voting control by bondholders would, by the terms of the indenture, constitute the sole immediate remedy for any event of default, including nonpayment of interest or principal. During such control, unpaid interest or principal would be considered subject to a grace period. But the directors representing the bondholders should have the right to apply for a trusteeship under the Chandler Act, if they feel that comprehensive reorganization is preferable to an indefinite continuance of the moratorium plus control. Secondly, this voting control could best be implemented through the indenture trustee—a large and financially experienced institution, which is competent to represent the bondholders generally and to recommend to them suitable candidates for the controlling directorships. Stockholder's interests should continue to be represented on the board by minority directors.

What this arrangement would mean in effect is the turning of a fixed-interest bond into an income bond during the period of bondholders' control; and the postponement of maturing debt until voluntary extension or refinancing becomes feasible or else until liquidation or sale is found to be the desirable course. It should also be feasible to extend the basic technique and principle of voluntary recapitalization by statute (now applying only to the various stock issues) to include a bond issue as well, when the plan emanates from bondholders' representatives who have the alternative of keeping control and merely waiting.

Obviously, however, control cannot well be vested in creditors when they belong to several classes with conflicting interests. In such cases Chandler Act proceedings would seem necessary to cut the Gordian knot. But, theoretically at least, a voting-control arrangement is possible with a simple senior and a simple junior lien. If default should occur only with